

Nokia financial results

Q3 2014

Conference call

October 23, 2014

15:00 / Helsinki

08:00 / New York

Presenters:

Rajeev Suri / President and CEO

Timo Ihamuotila / EVP and Group CFO

Matt Shimao / Head of Investor Relations

Disclaimer

It should be noted that Nokia and its business are exposed to various risks and uncertainties and certain statements herein that are not historical facts are forward-looking statements, including, without limitation, those regarding future business and financial performance of Nokia and its industry and statements preceded by "believe", "expect", "anticipate", "foresee", "sees", "target", "estimate", "designed", "aim", "plans", "intends", "focus", "continue", "will" or similar expressions. These statements are based on management's best assumptions and beliefs in light of the information currently available to it. Because they involve risks and uncertainties, actual results may differ materially from the results that we currently expect. Factors, including risks and uncertainties that could cause these differences can be both external, such as general, economic and industry conditions, as well as internal operating factors. We have identified these in more detail on pages 12-35 of Nokia's annual report on Form 20-F for the year ended December 31, 2013 under

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In addition to information on our reported IFRS results, we provide certain information on a non-IFRS, or underlying business performance, basis. Non-IFRS results exclude all material special items for all periods. Nokia believes that our non-IFRS results provide meaningful supplemental information to both management and investors regarding Nokia's underlying business performance by excluding the above-described items that may not be indicative of Nokia's business operating results. These non-IFRS

financial measures should not be viewed in isolation or as substitutes to the equivalent IFRS measure(s), but should be used in conjunction with the most directly comparable IFRS measure(s) in the reported results. A detailed explanation of the content of the non-IFRS information and a reconciliation between the non-IFRS and the reported information can be found in Nokia's respective results reports. Please see our Interim Report issued on October 23, 2014 for more information on our results and financial performance for the indicated periods as well as our operating and reporting structure.

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Presented by



Rajeev Suri

President and CEO



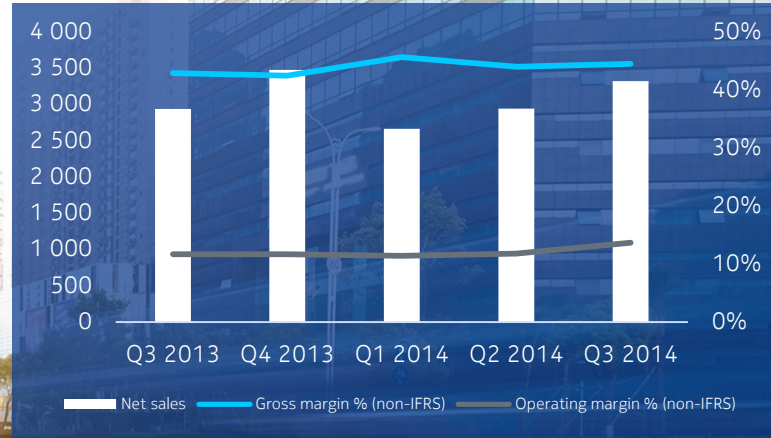
Timo Ihamuotila

EVP and Group CFO

Nokia Group Continuing Operations

Q3 2014 Highlights

- Nokia delivered net sales growth and strong profitability.
- All three of our businesses grew net sales year-on-year and sequentially.

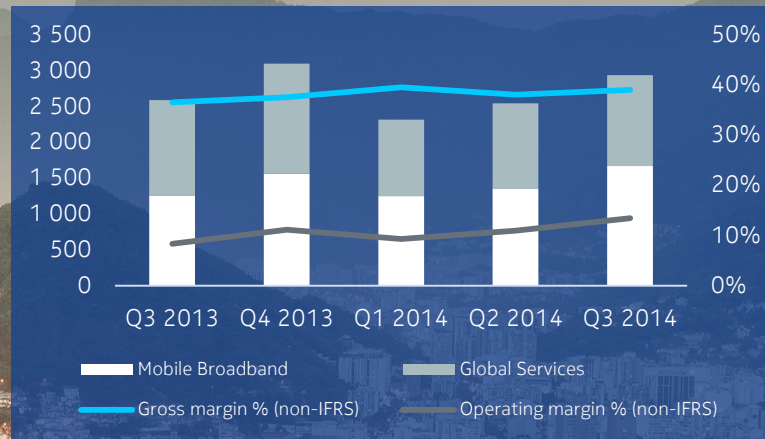


amounts in EUR millions	Q3 2014	Q3 2013	YoY change	Q2 2014	QoQ change
Net sales	3 324	2 938	13 %	2 942	13 %
<i>Net sales - constant currency</i>			15 %		17 %
Gross profit (non-IFRS)	1 480	1 259	18%	1 295	14%
Gross margin % (non-IFRS)	44.5 %	42.9 %	160bps	44.0 %	50bps
R&D (non-IFRS)	-614	-591	4 %	-571	8 %
SG&A (non-IFRS)	-392	-372	5 %	-369	6 %
Other income and expenses (non-IFRS)	-16	48		-9	
Operating profit (non-IFRS)	457	344	33 %	347	32 %
Operating margin % (non-IFRS)	13.7 %	11.7 %	200bps	11.8 %	190bps
EPS, EUR diluted (non-IFRS)	0.09	0.06	50%	0.06	50%

Nokia Networks

Q3 2014 Highlights

- Networks delivered a strong overall performance. The net sales and profitability improvement of Networks, on a year-on-year basis, was primarily due to major new network deployments in North America and Greater China, which benefitted Mobile Broadband.
- Business mix was weighted towards Mobile Broadband (57%) versus Global Services (43%).

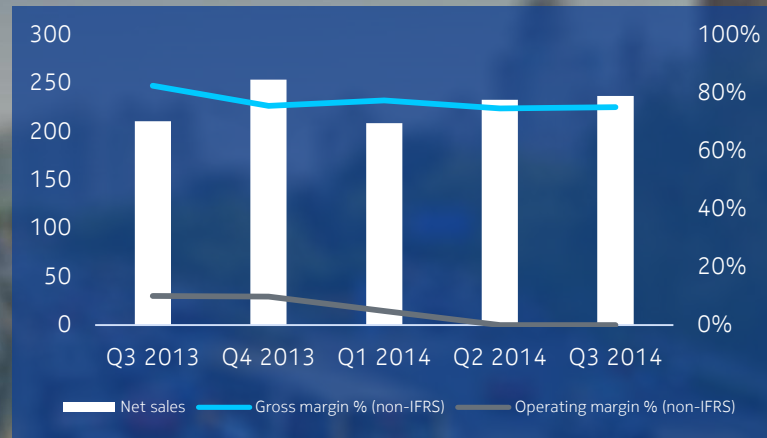


amounts in EUR millions	Q3 2014	Q3 2013	YoY change	Q2 2014	QoQ change
Net sales	2 940	2 591	13 %	2 566	15 %
<i>Net sales - constant currency</i>			15 %		12 %
Gross profit (non-IFRS)	1 151	949	21%	977	18%
Gross margin % (non-IFRS)	39.1 %	36.6 %	250bps	38.1 %	100bps
R&D (non-IFRS)	-440	-441	0 %	-406	8 %
SG&A (non-IFRS)	-302	-292	3 %	-280	8 %
Other income and expenses (non-IFRS)	-12	1		-9	
Operating profit (non-IFRS)	397	217	83 %	281	41 %
Operating margin % (non-IFRS)	13.5 %	8.4 %	510bps	11.0 %	250bps

HERE

Q3 2014 Highlights

- HERE net sales increased 12% year-on-year primarily due to higher sales to vehicle customers and our expanded licensing agreement with Microsoft, partially offset by lower sales related to our former handset business and personal navigation devices.
- HERE non-IFRS operating profit reflected the investments we are making in targeted growth areas.

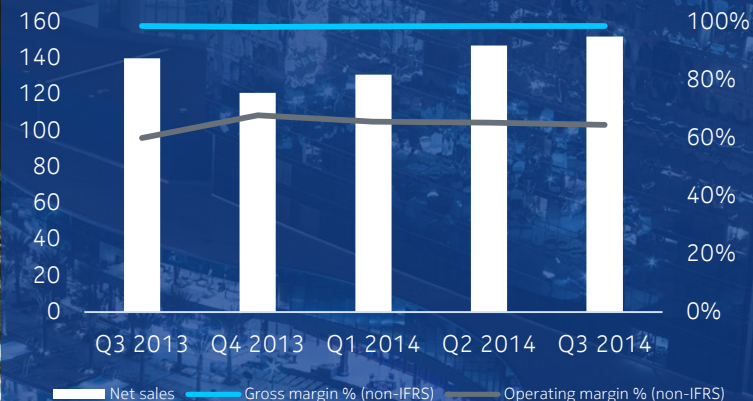


amounts in EUR millions	Q3 2014	Q3 2013	YoY change	Q2 2014	QoQ change
Net sales	237	211	12 %	233	2 %
<i>Net sales - constant currency</i>			12 %		1 %
Gross profit (non-IFRS)	178	174	2%	174	2%
Gross margin % (non-IFRS)	75.1 %	82.5 %	-740bps	74.7 %	40bps
R&D (non-IFRS)	-137	-114	20 %	-131	5 %
SG&A (non-IFRS)	-41	-39	5 %	-41	0 %
Other income and expenses (non-IFRS)	1	0		-2	
Operating profit (non-IFRS)	0	21		0	
Operating margin % (non-IFRS)	0.0 %	10.0 %	-1000bps	0.0 %	0bps

Nokia Technologies

Q3 2014 Highlights

- Nokia Technologies made continuous progress in building the strong business infrastructure necessary to support our longer-term ambitions.
- The Technologies team contributed multi-year research and development of speech codec reference software to the Enhanced Voice Service (EVS) codec that was selected by the 3rd Generation Partnership Project (3GPP) in the quarter.



amounts in EUR millions	Q3 2014	Q3 2013	YoY change	Q2 2014	QoQ change
Net sales	152	140	9 %	147	3 %
Gross profit (non-IFRS)	150	138	9%	145	3%
Gross margin % (non-IFRS)	98.7 %	98.6 %	10bps	98.6 %	10bps
R&D (non-IFRS)	-37	-35	6 %	-34	9 %
SG&A (non-IFRS)	-17	-18	-6 %	-15	13 %
Other income and expenses (non-IFRS)	2	0		0	
Operating profit (non-IFRS)	98	84	17 %	96	2 %
Operating margin % (non-IFRS)	64.5 %	60.0 %	450bps	65.3 %	-80bps

Q&A



NOKIA